rising. A new historical period of struggle against US imperialism and Soviet revisionism has begun'.[63]

Cynics would argue that China under Deng began to aspire to become a global political and economic superpower rather than a revolutionary model for 'the oppressed masses' of the world. Chinese support for revolutionary movements in Asia gave way to business deals and trade agreements. Deng did indeed live up to his image during the Cultural Revolution as a 'capitalist roader', and began to transform China's peasant-based society into an industrialized nation.

India had to remain cool in its relations with such an unpredictable and volatile neighbour, which could swing from revolutionary belligerence in the early years of the People's Republic to total madness during the Cultural Revolution—and then on to cut-throat capitalism. The 1962 War and its aftermath were only symptoms of China's shifting perception of its role in world politics and, according to Mao himself, had nothing to do with the border dispute.

Meanwhile in Sikkim, the intelligence war between India and China continued unabated. But the days of confrontation, which had prevailed throughout the 1960s, were over. India and China began to negotiate the possibility of cross-border trade and, in June 2006, a historic agreement was signed to allow such trade. On 6 July, after 44 years of closure, border trade at Nathu La was resumed. The agreement allowed residents living in the border areas of the two countries to trade about 28 items mentioned in Sino-Indian border trade agreements of 1991, 1992, and 2003.[64] That list has since been changed several times, though it is still limited to certain items, and trade is not allowed all year round. But it has resulted in an influx of Chinese consumer goods to markets not only in Sikkim but also in West Bengal and northeastern India. Even in Tawang, in Arunachal Pradesh, close to the Chinese border, Chinese items for sale have been imported via Sikkim.

Trade, and not only with China, as well as tourism, cottage industry, and local entrepreneurship coupled with generous grants from the centre in New Delhi, have brought prosperity to Sikkim. It is among the smallest of India's states and union territories, but its per capita Gross Domestic Product (GDP) is the third highest in the country after Goa and Delhi. The literacy rate, which stands at 82.2 per cent, is also one of the highest in the